

TRACKING THE TREND

► Insurance penetration, the ratio of total insurance premiums to GDP, has increased only slightly over the past five years ► It is the same with insurance density, or the per capita premium

Insurance Penetration in India (2019-2023)

Financial Year	Life Insurance Penetration (%)	Non-Life Insurance Penetration (%)	Total Insurance Penetration (%)
2018-19	2.82	0.94	3.76
2019-20	3.2	1	4.2
2020-21	3.2	1	4.2
2021-22	3.2	1	4.2
2022-23	3	1	4

Insurance Density in India (2019-2023)

Financial Year	Life Insurance Density (\$)	Non-Life Insurance Density (\$)	Total Insurance Density (\$)
2018-19	58	20	78
2019-20	59	21	80
2020-21	59	21	80
2021-22	60	22	82
2022-23	61	23	84

NOTE THESE TRENDS INDICATE A STEADY INCREASE IN BOTH INSURANCE PENETRATION AND DENSITY IN INDIA, HIGHLIGHTING THE EXPANDING ROLE OF INSURANCE IN THE COUNTRY'S ECONOMY. HOWEVER, WHEN COMPARED TO GLOBAL AVERAGES, THERE REMAINS SIGNIFICANT POTENTIAL FOR FURTHER GROWTH IN THE INDIAN INSURANCE SECTOR

SOURCES IRDAI ANNUAL REPORT 2019-20, IRDAI ANNUAL REPORT 2022-23

cessing products. For instance, some insurers say that in rural areas and semi-urban towns, even when people research products online, they want to see a familiar face before making a purchase, especially in a category like insurance where there's no instant gratification.

That has forced insurers to adopt physical models like feet-on-street and PoSP (point of sales person). "India has 19,100 pin codes, and this amalgamation of online and offline is the key to ensuring that customers receive personalised support through their preferred

medium," says Singh of PB Fintech.

For complete financial inclusion, critical tools must reach every Indian. Coverage against death, disease, and disability can significantly narrow the financial inclusion gap. Irdaï has highlighted the pivotal role of microinsurance in providing financial protection to economically vulnerable sections of the population. Several measures have been introduced to simplify microinsurance and encourage insurers to develop flexible plans.

One other challenge is the steep goods and services tax (GST) of 18% levied by the Indian government on insurance premiums, which significantly inflates the cost of insurance products. Removing or reducing GST on premiums could lower costs and make insurance more accessible, particularly for first-time buyers.

Rakesh Goyal, Director of Probus, an insurance broker, says, "Lowering or removing GST on premiums can make insurance more accessible, moving India closer to achieving financial inclusion goals."

Echoing similar views, Singh says, "Removal of GST on life and health insurance premiums can make insurance more affordable for India's middle class, a segment that now represents 31% of India's population. This would directly reduce the premium, passing on the cost benefit to customers."

Success Mantra

For AI and policy reforms to truly revolutionise insurance in India, a collaborative approach is essential. Alongside AI tools, insurers must invest in financial literacy campaigns to empower customers to make informed decisions. To encourage adoption, the government should consider removing GST on insurance premiums and introducing subsidies for first-time buyers.

Vasudeva says, "Technology will play a major role in improving distribution. The year 2025 will witness a lot more in generative AI, large language models, computer vision, and optimal character recognition, which will streamline processes." He adds that the industry is constantly striving to improve underwriting solutions and reducing turnaround time in claim settlements.

Perhaps one of the biggest disruptions of 2025 and beyond in the insurance industry will be the launch of the government-backed Bima Sugam platform that will act as a one-stop shop for all insurance products. Vasudeva calls it a game changer as "it will create one unified destination for all insurance transactions and help insurance companies reach out to consumers in the smaller towns and cities".

As 2025 dawns, while challenges remain, a focussed and collaborative approach could drive significant improvements in insurance penetration and financial security for millions. **BT**

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